DETAILED PROJECT REPORT

for setting up a

CUSTOM HIRING CENTRE (CHC) OF FARM MACHINERY

Credit Linked Subsidy Scheme for Rural Entrepreneurs – individual applicant, TFO Rs 29.57 lakh

under the FARM MECHANIZATION SCHEME 2026-27

Department of Agriculture, Government of West Bengal



SUBMITTED BY

RAMPRASAD BISWAS

Individual applicant – farmer, Scheduled Caste (SC)

S/o Sudhir Biswas | Age: 63 years | Male

Vill. & P.O. Dakshin Durgapur, G.P. Deulbari Debipur, Block & P.S. Kultali, Dist. South 24 Parganas, PIN 743349

Mobile: 8116680624 | e-mail: surojit3136@gmail.com

Project site: own bastu land – Mouza Dakshin Durgapur, J.L. No. 37, Dag No. 317, G.P. Deulbari Debipur

2. APPLICANT PROFILE

2.1 Details of the applicant

Particulars	Details
Name of the applicant	Ramprasad Biswas
Father's name	Sudhir Biswas
Applicant category	Individual farmer (rural entrepreneur)
Age / gender	63 years / Male
Social category	Scheduled Caste (SC)
Address	Vill. & P.O. Dakshin Durgapur, G.P. Deulbari Debipur, Block & P.S. Kultali, Dist. South 24 Parganas, West Bengal, PIN 743349
Mobile / e-mail	8116680624 / surojit3136@gmail.com
Aadhaar No.	XXXX XXXX 7895 (masked)
Voter ID (EPIC) No.	WB/XX/XXX/XXX448 (masked)
PAN	XXXXXX147J (masked)
Bank account	State Bank of India, Kaikhali Branch – A/c No. XXXXXXX5724 (masked), IFSC SBIN0008785
Krishak Bandhu (Natun)	XXXXXXXX2348 (masked)
Occupation	Farmer

2.2 Eligibility (FMS 2026-27, Cl. XI)

Condition	Position of the applicant
Farmer registered under Krishak Bandhu (Natun) (Cl. XI(d)(i))	Yes – Krishak Bandhu (Natun) ID XXXXXXXX2348 (masked)
TFO at least Rs 20 lakh; subsidy up to Rs 16 lakh or 40% of TFO, whichever is less (Cl. XI(e)(ii))	TFO Rs 29,57,450; subsidy Rs 11,15,636 (limit Rs 11,82,980)
Land of commercial, bastu or viti class – own, leased or hired; not agricultural land (Cl. XI(d)(ii))	Yes – own bastu land, 3 decimal
Age 18–70 years (Cl. XI(d)(iv))	Yes – 63 years
Applicant and spouse are not serving or retired employees of any Govt. body, civic volunteers or contractual staff (Cl. XI(d)(iii))	Yes – both are farmers
No benefit under FSSM, OTA-SFI, FMB/FMH or CHC in 2022-23 to 2025-26 – applicant and spouse (Cl. XI(d)(v))	Yes – no benefit taken
At least 4 types of machines from Annexure-IV; at most 2 tractors (Cl. XI(g))	Yes – 4 types; no tractor
At least 22% of CHC benefits go to SC and 7% to ST applicants (Cl. XI(m)(iii))	Applicant is SC

3. PROJECT AT A GLANCE

3.1 Summary of the project

Item	Details
Applicant	Sri Ramprasad Biswas, S/o Sudhir Biswas – farmer, 63 years, Scheduled Caste
Constitution	Proprietorship (individual)
Experience in business	New venture – his first CHC; a farmer by occupation
Scheme / component	Credit Linked Subsidy Scheme for Rural Entrepreneurs to set up CHCs – FMS 2026-27
Project site	Vill. & P.O. Dakshin Durgapur, G.P. Deulbari Debipur, Block Kultali, Dist. South 24 Parganas, PIN 743349
Land	Own bastu land, 3 decimal – Mouza Dakshin Durgapur, J.L. No. 37, Khatian No. 682, Dag No. 317
Shed	New shed to be built – Rs 1,10,035, included in TFO
Machinery (4 types)	Combine harvester (track type), power weeder, brush cutter, hand seeding machine – one each
Service output (hours a year)	Combine: 750 hours a year at full capacity (75 days × 10 hours); 450 in Year I, 600 from Year IV. Power weeder and brush cutter: 150 hours each; seeder: 50 days (Annexure 7)
Working days	Combine: 75 days a year (Aman 50 + Boro 25), 10 hours a day; small implements in kharif and rabi
Hire charge (combine)	Rs 2,700 an hour in Year I (about Rs 820 a bigha), rising 3% a year; final rate set with the ADA
Total Financial Outlay (TFO)	Rs 29,57,450 = machinery Rs 27,89,515 + shed Rs 1,10,035 + AMC for 18 months Rs 41,900 + insurance for 1 year Rs 16,000
Admissible Govt. subsidy (back-ended)	Rs 11,15,636 (37.72% of TFO) – 40% of each item within the Annexure-IV ceilings (combine capped at Rs 10,00,000)
Applicant's margin money	Rs 7,39,362 (25% of TFO, the minimum)
Bank term loan	Rs 22,18,088 in all: Rs 11,02,452 with interest (repaid by the applicant) + Rs 11,15,636 without interest (covered by the subsidy)
Financing bank	State Bank of India, Kaikhali Branch (IFSC SBIN0008785); interest 9% p.a.
AIF convergence	Yes – 3% p.a. interest subvention (Section 9.4)
Service area / crop	Deulbari Debipur G.P. first, then other G.P.s of Kultali; paddy – Aman and Boro
Area and bookings	About 198 ha (792 bookings) in Year I, rising to 264 ha (1,056 bookings) from Year IV
Employment	Combine operator and helper (seasonal, 52–69 paid days a year of 10 hours); the applicant runs the CHC himself

4. PROJECT OBJECTIVE & LOCAL NEED

4.1 Background and local need

Farm machines make farm work timely, raise yields and cut costs. In Kultali block (Sundarbans area), paddy is the main crop and most farmers are small or marginal. They cannot buy costly machines like a combine harvester, and harvest labour is scarce and costly. So harvesting is delayed and crops are lost to rain, cyclones and shattering.

Sri Ramprasad Biswas, a farmer of Dakshin Durgapur, will set up a Custom Hiring Centre (CHC) on his own bastu land. He will hire out machines at reasonable rates, small and marginal farmers first.

Paddy is grown twice a year (Aman and Boro), so the combine has two harvest seasons. Pulses, oilseeds and vegetables give work to the small implements.

Mechanization through a CHC is needed in the area for:

- timely sowing, weeding and harvesting between two crops;
- higher yields and a lower cost of cultivation;
- less dependence on scarce labour, and less drudgery;
- fewer harvest losses and better quality produce;
- costly machines within reach of small and marginal farmers.

4.2 Objectives of the project

Primary objectives

- To hire out a combine harvester and small implements in the village, small and marginal farmers first.
- To complete paddy harvesting on time and reduce crop losses.
- To reduce the cost of harvesting and the dependence on scarce labour.
- To give the applicant a regular income, and local youth seasonal jobs.
- To increase farm-power availability in Kultali block.

Secondary objectives

- To spread awareness among farmers about modern farm machinery.
- To help farmers get information on Government schemes for agriculture.

5. PROJECT SITE, LAND & SHED DETAILS

5.1 Project site and land

Particulars	Details
Location of the CHC	Vill. & P.O. Dakshin Durgapur, G.P. Deulbari Debipur, Block & P.S. Kultali, Dist. South 24 Parganas, PIN 743349
Mouza / J.L. No.	Dakshin Durgapur / 37
Khatian No.	682
Plot (Dag) No.	317
Area	3 decimal
Classification of land	Bastu
Possession	Own land of the applicant
Approach road	8 ft wide

5.2 Machinery shed

Particulars	Details
Status	Not ready – a new shed will be built
Ownership / location	Own shed on his own bastu land (3 decimal)
Type and size	30 ft long × 20 ft wide × 12 ft high; covered area 600 sq. ft.
Cost included in TFO	Rs 1,10,035 = 3.72% of TFO (limit 5% – Cl. XI(e)(iv));
Subsidy on the shed	Rs 44,014 (40% of cost)

The site is the applicant's own land in his home village.

6. SERVICE AREA, MACHINERY DEMAND & BENEFICIARY FARMERS

6.1 Service area

The CHC is in Deulbari Debipur G.P., Kultali block. It will serve this G.P. first, with small and marginal farmers first. It will then serve Gopalganj, Gurguria Bhubaneswari, Jalaberia-I, Jalaberia-II, Maipith Baikunthapur, Merigunj-I, Merigunj-II and Kundakhali Godabar G.P.s and Kultali Municipality.

Particulars	Details
Primary service area	Dakshin Durgapur (CHC site), Deulbari Debipur, Katamari, Madhabpur and Shyamnagar (Deulbari Debipur G.P.)
Secondary service area	The other areas above, after local demand is met
Main crop	Paddy – Aman (kharif) and Boro (summer)

6.2 Planned harvesting service (combine harvester)

Year	Capacity utilisation	Working hours	Working days (10 h/day)	Area harvested (ha) at 0.44 ha/hour
I (2027-28)	60%	450	45	198.0
II (2028-29)	70%	525	53	231.0
III (2029-30)	75%	563	56	247.7
IV–VII (2030-31 to 2033-34)	80%	600	60	264.0

Combine capacity: 0.40–0.48 ha/hour; 0.44 is used. Area = hours × 0.44 ha. One booking = 0.25 ha. 75 days (Aman 50 + Boro 25) × 10 hours a day = 750 hours at full capacity.

6.3 Beneficiary farmers

Particulars	Year I	Year IV onward
Hire bookings – combine harvester (no.)	792	1,056
Area harvested (ha)	198	264
Farm families served (approx., indicative)	about 410	about 550
Farmers using the small implements (no.)	about 80	about 110

6.4 Proposed hire charges (Year I)

Machine	Hire charge	Equivalent
Combine harvester	Rs 2,700 per hour	About Rs 6,140 per ha (Rs 820 per bigha)
Power weeder	Rs 250 per hour	–
Brush cutter	Rs 150 per hour	–
Hand seeding machine	Rs 100 per day	–

Rates rise 3% a year. Final rates are fixed with the ADA (Block) and Asstt. DA (Admn) and shown on the signboard.

7. PROPOSED MACHINERY & TECHNICAL JUSTIFICATION

7.1 Machinery proposed

Sl	Machine and Annexure-IV category	Make, model and dealer	Specification	Qty	Indicative price / cost (Rs)
1	Combine Harvester – self-propelled, track type (Annexure-IV item 19(g): track type, > 6 ft cutter bar)	Escorts Kubota Ltd. Kubota DC-68G Harvesking Pro Dealer: Bengal Agro Machinery Corporation, Purba Bardhaman	Track-type paddy combine; 0.40–0.48 ha/hour	1	26,68,356
2	Power Weeder (Annexure-IV item 6(c): 5 to below 7.5 BHP)	Ralli Agrotech Ltd. Ralli RRT-100P Dealer: Bharat Tractors, Nadia	5.3 hp, 212 cc petrol engine	1	89,397
3	Brush Cutter (Annexure-IV item 46)	Ralli Agrotech Ltd. Ralli BC-52 Dealer: Bharat Tractors, Nadia	52 cc, 2-stroke petrol engine	1	21,367
4	Hand Seeding Machine (Annexure-IV item 35)	Ralli Agrotech Ltd. Ralli RS-12 Dealer: Bharat Tractors, Nadia	Manually operated	1	10,395
	Total cost of machinery (4 types)			**4**	**27,89,515**
5	Add: shed (Section 5.2)			1	1,10,035
6	Add: AMC for 18 months, paid upfront (Section 8.3)			–	41,900
7	Add: insurance, first year (Section 8.3)			–	16,000
	Total Financial Outlay (TFO)				**29,57,450**

7.2 Technical justification

Machine	Operation covered	Why it is needed and how it is sized
Combine harvester (Kubota DC-68G Harvesking Pro)	Reaps, threshes and cleans paddy in one pass	Solves the harvest-labour shortage and cuts crop loss. Track type suits wet fields. One unit covers the 75-day season (750 hours at 10 hours a day).
Power weeder (Ralli RRT-100P)	Weeding and light tillage in small plots	Saves weeding labour and cost; for vegetables and upland crops; 150 hours a year at full use.
Brush cutter (Ralli BC-52)	Cuts weeds and grass on bunds and channels, and fodder and crop residue	Low-cost and portable; keeps bunds clean before sowing; 150 hours a year at full use.
Hand seeding machine (Ralli RS-12)	Line sowing at even spacing and depth	Saves seed and labour; manual, no fuel; for pulses, oilseeds and vegetables; 50 days a year at full use.

8. OPERATING PLAN & EMPLOYMENT

8.1 Operating calendar (indicative)

Period	Combine harvester	Small implements
April - May	Boro paddy harvest	Brush cutter for small plots
June - October	Servicing under AMC; standby	Power weeder and seeder – kharif crops
November - December	Aman paddy harvest - peak season	Brush cutter for small plots and bunds
January - March	Off-season overhaul under AMC	Power weeder and seeder – rabi vegetables

8.2 Staffing and employment

Position	No.	Engagement	Wage (Year I)	Paid days a year	Annual cost, Year I (Rs)
Combine operator (skilled)	1	Hired, seasonal	Rs 2,400/day (10 h)	52 (Year I) to 69 (Year IV on)	1,24,800
Helper	1	Hired, seasonal	Rs 600/day (10 h)	52 (Year I) to 69 (Year IV on)	31,200
Total paid staff	**2**				**1,56,000**

The applicant runs the CHC and takes no salary. Small implements are run by him or by local workers paid per job.

8.3 Maintenance and insurance

- AMC: Rs 41,900 for the first 18 months, paid upfront from the TFO (Rs 27,933 in Year I, Rs 13,967 in Year II). After that it is renewed from hire income at Rs 40,000 a year, rising 5% a year from Year V.
- Repairs and spares follow IS 9164 (BIS), so the cost rises with the hours worked. The AMC is part of this cost and is not counted twice (Annexure 4).
- Insurance: Rs 16,000 a year. Year I is paid from the TFO; later years from hire income.
- Servicing before each harvest; machines are kept under the shed when idle.

8.4 Signboard, records and use of machines

- A signboard with the CHC name, owner, year of financing, subsidy, bank loan, hire rates and phone number; a metal plate on each machine; a receipt for every user; and a hire register.

9. PROJECT COST, SUBSIDY & MEANS OF FINANCE

9.1 Total Financial Outlay (TFO)

Component (as in Cl. XI(e)(i))	Included in TFO (Rs)	Remarks
Indicative cost of machinery (4 types – Section 7)	27,89,515	
Shed, to be built (Section 5.2)	1,10,035	3.72% of TFO (limit 5%)
AMC	41,900	For 18 months; paid upfront to the dealer
Insurance	16,000	First year, comprehensive
Total Financial Outlay (TFO)	**29,57,450**	**Above the Rs 20 lakh minimum; shed + AMC + insurance = 5.68% of TFO (limit 10%)**

9.2 Admissible subsidy (Annexure-IV)

Sl	Item	Price / cost (Rs)	40% of cost (Rs)	Ceiling – Annexure-IV (Rs)	Admissible subsidy (Rs)
1	Combine Harvester	26,68,356	10,67,342	10,00,000	10,00,000
2	Power Weeder	89,397	35,758	60,000	35,758
3	Brush Cutter	21,367	8,546	20,000	8,546
4	Hand Seeding Machine	10,395	4,158	10,000	4,158
5	New machinery shed	1,10,035	44,014	–	44,014
6	AMC (18 months, paid upfront)	41,900	16,760	–	16,760
7	Insurance (first year)	16,000	6,400	–	6,400
	Total	**29,57,450**	**–**	**–**	**11,15,636**

Subsidy = 40% of cost or the Annexure-IV ceiling, whichever is less (combine capped at Rs 10,00,000). The total is within the individual limit (40% of TFO = Rs 11,82,980) and above the Rs 8 lakh minimum.

9.3 Means of finance

Sl	Source	Amount (Rs)	% of TFO
1	Margin money (minimum 25%)	7,39,362	25.00%
2	Bank term loan – SBI, Kaikhali Branch (TFO less margin)	22,18,088	75.00%
	(a) Loan without interest – covered by the subsidy	11,15,636	
	(b) Loan with interest – repaid by the applicant (6% net)	11,02,452	
	Total = TFO	**29,57,450**	

The subsidy goes into the Subsidy Reserve Fund in two halves of Rs 5,57,818: after loan sanction and margin deposit, and after joint inspection and geo-tagging. It is locked in for 5 years, then set off against the loan without interest. Interest is charged only on the loan with interest.

9.4 Agriculture Infrastructure Fund (AIF)

- A CHC with at least 4 machines is eligible under AIF; this CHC has 4.
- AIF gives 3% p.a. interest subvention on loans up to Rs 2 crore for up to 7 years, plus CGTMSE credit guarantee.
- Repayment follows the FMS rule: 1 grace year, then 5 years in 10 half-yearly instalments (Annexure 13).

10. EXPECTED ANNUAL INCOME, EXPENDITURE & NET RETURN

10.1 TFO and expected annual return (Annexure-VIII)

Sl	Item	Amount (Rs)	Basis
1	Total Financial Outlay (TFO)	29,57,450	Machinery + shed + AMC + insurance (Section 9.1)
2	(a) Gross annual income (Year I)	12,54,000	Hire income at 60% use (Section 10.2)
3	(b) Total expenditure (Year I)	7,55,478	Operating costs (Section 10.4)
4	**(c) Net income (Year I) = (a) – (b)**	**4,98,522**	

10.2 Hire income in Year I (2027-28, 60% utilisation)

Machine	Basis	Income (Rs)
Combine harvester	450 hours × Rs 2,700	12,15,000
Power weeder	90 hours × Rs 250	22,500
Brush cutter	90 hours × Rs 150	13,500
Hand seeding machine	30 days × Rs 100	3,000
Total		**12,54,000**

10.3 Annual income, expenditure and net return

	Particulars	Year I (2027-28)	Year IV (2030-31, 80%)
A	Gross hire income	12,54,000	18,26,822
B	Operating expenditure (Section 10.4)	7,55,478	12,27,925
C	**Net operating income (A – B)**	**4,98,522**	**5,98,897**
D	Interest on the loan (6% net)	66,147	36,381
E	Depreciation (non-cash)	4,29,431	2,64,989
F	Net profit before tax	2,944	2,97,527
G	Income tax (nil – Annexure 10)	0	0
H	**Net profit after tax**	**2,944**	**2,97,527**
I	Add: AMC and insurance already paid from TFO	43,933	0
J	Cash surplus (H + E + I)	4,76,308	5,62,516
K	Loan principal repaid	0 (grace year)	2,20,490
L	**Net cash after loan repayment**	**4,76,308**	**3,42,026**

For the application form (Annexure-VIII): area 198 ha in Year I and 264 ha from Year IV; TFO Rs 29,57,450; Year I income Rs 12,54,000, expenditure Rs 7,55,478, net income Rs 4,98,522.

10.4 Operating expenditure, Year I (Rs)

Fuel and lubricants	Operator and helper	Shifting of combine	Small implements running	Repairs and spares	AMC	Insurance	Miscellaneous	Total
3,87,000	1,56,000	47,500	28,545	57,500	27,933	16,000	35,000	7,55,478

PART B – FINANCIAL ANNEXURES

All amounts are in rupees. Annexures 1 to 13 below are the financial annexures of this report; Annexure-IV, -V and -VIII mentioned in Part A are annexures of the FMS 2026-27 guidelines.

List of financial annexures

Annexure	Contents	Page
1	Estimated cost of the project	11
2	Means of finance	12
3	Complete estimate of civil work and plant and machinery	13
4	Estimated cost of production and profitability	14
5	Projected balance sheet and financial ratios	15
6	Requirement of power and fuel	17
7	Sales/service budget (hire income)	18
8	Details of salary and wages	19
9	Computation of depreciation	20
10	Calculation of income tax	21
11	Break-even analysis	22
12	Cash flow statement	23
13	Repayment schedule	24

Annexure 1 – Estimated cost of the project (Rs)

Sl	Particulars	Amount (Rs)	% of TFO
1	Land and site development – own bastu land, 3 decimal (not included in TFO)	–	–
2	Building – new machinery shed, 30 ft × 20 ft (Annexure 3)	1,10,035	3.72%
3	Plant and machinery – 4 types (Annexure 3)	27,89,515	94.32%
4	AMC – 18 months, paid upfront to the dealer	41,900	1.42%
5	Insurance – first year, comprehensive	16,000	0.54%
6	Working capital margin	–	–
7	Preliminary and pre-operative expenses	–	–
	Total cost of project = Total Financial Outlay (TFO)	**29,57,450**	**100.00%**

Shed 3.72% of TFO (limit 5%); shed + AMC + insurance 5.68% of TFO (limit 10%) – Cl. XI(e). TFO is above the Rs 20 lakh minimum.

Annexure 2 – Means of finance (Rs)

Sl	Source	Amount (Rs)	% of TFO
1	Promoter's contribution – margin money (minimum 25%)	7,39,362	25.00%
2	Bank term loan – SBI, Kaikhali Branch (TFO less margin)	22,18,088	75.00%
	(a) Loan without interest – covered by the subsidy	11,15,636	37.72%
	(b) Loan with interest – repaid by the applicant (6% net)	11,02,452	37.28%
	Total = TFO	**29,57,450**	**100.00%**

Govt. subsidy (back-ended): Rs 11,15,636 = 37.72% of TFO (Part A, Section 9.2). It goes into the Subsidy Reserve Fund in two halves of Rs 5,57,818, stays there for 5 years and is then set off against loan (a). Interest is charged only on loan (b).

Annexure 3 – Complete estimate of civil work and plant and machinery (Rs)

Sl	Item	Units	Rate (Rs)	Amount (Rs)
1. Civil work				
1	Machinery shed – new, 30 ft × 20 ft × 12 ft (600 sq. ft) on own land	1	1,10,035	1,10,035
	Total civil work			**1,10,035**
2. Plant and machinery				
1	Combine harvester – Kubota DC-68G Harvesking Pro, track type	1	26,68,356	26,68,356
2	Power weeder – Ralli RRT-100P	1	89,397	89,397
3	Brush cutter – Ralli BC-52	1	21,367	21,367
4	Hand seeding machine – Ralli RS-12	1	10,395	10,395
	Total plant and machinery	**4**		**27,89,515**
3. AMC and insurance (paid upfront from the TFO)				
1	AMC for 18 months	–		41,900
2	Insurance, first year	–		16,000
	Total AMC and insurance			**57,900**
	Total fixed assets = TFO			**29,57,450**

Prices are indicative dealer quotations (Part A, Section 7.1): Bengal Agro Machinery Corporation, Purba Bardhaman (combine) and Bharat Tractors, Nadia (other machines).

Annexure 4 – Estimated cost of production and profitability (Rs)

Particulars	Year ending 31 March							Total
	I 2027-28	II 2028-29	III 2029-30	IV 2030-31	V 2031-32	VI 2032-33	VII 2033-34	
A. Running costs (change with the hours worked)								
Fuel and lubricants (Annexure 6)	3,87,000	4,65,045	5,13,667	5,63,847	5,80,763	5,98,185	6,16,131	37,24,638
Operator and helper wages (Annexure 8)	1,56,000	1,89,000	2,14,988	2,39,628	2,51,610	2,64,190	2,77,400	15,92,816
Harvester shifting charges	47,500	55,088	63,017	68,124	70,169	72,274	74,442	4,50,614
Small implements running and fuel	28,545	34,617	38,557	42,758	44,458	46,229	48,075	2,83,239
Repairs and spares (IS 9164, less AMC)	57,500	1,23,877	1,70,310	2,17,051	2,44,707	2,68,280	2,88,992	13,70,717
Sub-total (A) – running costs	**6,76,545**	**8,67,627**	**10,00,539**	**11,31,408**	**11,91,707**	**12,49,158**	**13,05,040**	**74,22,024**
B. Fixed costs								
AMC (Rs 41,900 for 18 months from TFO, then renewal)	27,933	33,967	40,000	40,000	42,000	44,100	46,305	2,74,305
Insurance (Rs 16,000 a year; Year I paid from TFO)	16,000	16,000	16,000	16,000	16,000	16,000	16,000	1,12,000
Miscellaneous expense (semi-fixed)	35,000	36,750	38,588	40,517	42,543	44,670	46,903	2,84,971
Sub-total (B) – fixed costs	**78,933**	**86,717**	**94,588**	**96,517**	**1,00,543**	**1,04,770**	**1,09,208**	**6,71,276**
Cost of operation (A + B)	**7,55,478**	**9,54,344**	**10,95,127**	**12,27,925**	**12,92,250**	**13,53,928**	**14,14,248**	**80,93,300**
C. Revenue and profit								
Hire income – combine harvester (Annexure 7)	12,15,000	14,60,025	16,12,432	17,70,000	18,23,400	18,78,000	19,34,400	1,16,93,257
Hire income – small implements	39,000	46,865	51,719	56,822	58,526	60,282	62,091	3,75,305
Expected revenue – total hire income	**12,54,000**	**15,06,890**	**16,64,151**	**18,26,822**	**18,81,926**	**19,38,282**	**19,96,491**	**1,20,68,562**
Gross profit (revenue – cost of operation)	**4,98,522**	**5,52,546**	**5,69,024**	**5,98,897**	**5,89,676**	**5,84,354**	**5,82,243**	**39,75,262**
Less: interest on term loan, net of AIF subvention (Annexure 13)	66,147	62,840	49,610	36,381	23,152	9,922	0	2,48,052
Operating profit before depreciation	**4,32,375**	**4,89,706**	**5,19,414**	**5,62,516**	**5,66,524**	**5,74,432**	**5,82,243**	**37,27,210**
Less: depreciation (Annexure 9)	4,29,431	3,65,566	3,11,227	2,64,989	2,25,641	1,92,155	1,63,658	19,52,667
Net profit before tax	**2,944**	**1,24,140**	**2,08,187**	**2,97,527**	**3,40,883**	**3,82,277**	**4,18,585**	**17,74,543**
Less: income tax (Annexure 10)	0	0	0	0	0	0	0	0
Profit after tax	**2,944**	**1,24,140**	**2,08,187**	**2,97,527**	**3,40,883**	**3,82,277**	**4,18,585**	**17,74,543**
Less: drawings by the owner (60% of profit after tax)	1,766	74,484	1,24,912	1,78,516	2,04,530	2,29,366	2,51,151	10,64,725
Profit transferred to the balance sheet	**1,178**	**49,656**	**83,275**	**1,19,011**	**1,36,353**	**1,52,911**	**1,67,434**	**7,09,818**

Hire income comes from Annexure 7, fuel from Annexure 6, wages from Annexure 8, depreciation from Annexure 9, interest from Annexure 13 and tax from Annexure 10. The owner takes 60% of the profit after tax for his household; the rest stays in the business.

Annexure 5 – Projected balance sheet (31 March) (Rs)

Particulars	Year ending 31 March							
	0 (set-up) 2026-27	I 2027-28	II 2028-29	III 2029-30	IV 2030-31	V 2031-32	VI 2032-33	VII 2033-34
A. Liabilities								
Owner's capital – opening	–	7,39,362	7,40,540	7,90,196	8,73,471	9,92,482	11,28,835	12,81,746
Add: margin money brought in	7,39,362	–	–	–	–	–	–	–
Add: profit after tax (Annexure 4)	–	2,944	1,24,140	2,08,187	2,97,527	3,40,883	3,82,277	4,18,585
Less: drawings by the owner	–	1,766	74,484	1,24,912	1,78,516	2,04,530	2,29,366	2,51,151
Owner's capital – closing	**7,39,362**	**7,40,540**	**7,90,196**	**8,73,471**	**9,92,482**	**11,28,835**	**12,81,746**	**14,49,180**
Capital subsidy (Govt. grant)	11,15,636	11,15,636	11,15,636	11,15,636	11,15,636	11,15,636	11,15,636	11,15,636
Term loan with interest (Annexure 13)	11,02,452	11,02,452	8,81,962	6,61,472	4,40,982	2,20,492	0	0
Term loan without interest (against subsidy)	11,15,636	11,15,636	11,15,636	11,15,636	11,15,636	11,15,636	0	0
Total liabilities (A)	**40,73,086**	**40,74,264**	**39,03,430**	**37,66,215**	**36,64,736**	**35,80,599**	**23,97,382**	**25,64,816**
B. Assets								
Machinery and shed – gross block (cost)	28,99,550	28,99,550	28,99,550	28,99,550	28,99,550	28,99,550	28,99,550	28,99,550
Less: accumulated depreciation (Annexure 9)	–	4,29,431	7,94,997	11,06,224	13,71,213	15,96,854	17,89,009	19,52,667
Net block (written-down value)	**28,99,550**	**24,70,119**	**21,04,553**	**17,93,326**	**15,28,337**	**13,02,696**	**11,10,541**	**9,46,883**
Prepaid AMC and insurance	57,900	13,967	0	0	0	0	0	0
Subsidy Reserve Fund (with the bank)	11,15,636	11,15,636	11,15,636	11,15,636	11,15,636	11,15,636	0	0
Cash and bank balance (Annexure 12)	0	4,74,542	6,83,241	8,57,253	10,20,763	11,62,267	12,86,841	16,17,933
Total assets (B)	**40,73,086**	**40,74,264**	**39,03,430**	**37,66,215**	**36,64,736**	**35,80,599**	**23,97,382**	**25,64,816**
Difference (A – B)	0	0	0	0	0	0	0	0

The loan without interest and the Subsidy Reserve Fund cancel out in Year VI. Total assets equal total liabilities every year. Ratios are on the next page.

Annexure 5 (contd.) – Financial ratios (Rs)

Particulars	Year ending 31 March							
	0 (set-up) 2026-27	I 2027-28	II 2028-29	III 2029-30	IV 2030-31	V 2031-32	VI 2032-33	VII 2033-34
Current ratio								
Current assets – cash and bank balance + prepaid AMC and insurance	57,900	4,88,509	6,83,241	8,57,253	10,20,763	11,62,267	12,86,841	16,17,933
Current liabilities – next year's loan instalments (Annexure 13)	0	2,20,490	2,20,490	2,20,490	2,20,490	2,20,492	0	0
Current ratio	**–**	**2.22**	**3.10**	**3.89**	**4.63**	**5.27**	**–**	**–**
Debt–equity ratio								
Debt – term loan with interest	11,02,452	11,02,452	8,81,962	6,61,472	4,40,982	2,20,492	0	0
Equity – owner's capital + capital subsidy	18,54,998	18,56,176	19,05,832	19,89,107	21,08,118	22,44,471	23,97,382	25,64,816
Debt–equity ratio	**0.59**	**0.59**	**0.46**	**0.33**	**0.21**	**0.10**	**0.00**	**0.00**
Fixed asset coverage ratio								
Net fixed assets (Annexure 9)	28,99,550	24,70,119	21,04,553	17,93,326	15,28,337	13,02,696	11,10,541	9,46,883
Debt – term loan with interest	11,02,452	11,02,452	8,81,962	6,61,472	4,40,982	2,20,492	0	0
Fixed asset coverage ratio	**2.63**	**2.24**	**2.39**	**2.71**	**3.47**	**5.91**	**–**	**–**

Debt service coverage ratio (DSCR)

Particulars	Year ending 31 March						Total (I–VI)
	I 2027-28	II 2028-29	III 2029-30	IV 2030-31	V 2031-32	VI 2032-33	
Net profit after tax (Annexure 4)	2,944	1,24,140	2,08,187	2,97,527	3,40,883	3,82,277	13,55,958
Add: depreciation	4,29,431	3,65,566	3,11,227	2,64,989	2,25,641	1,92,155	17,89,009
Add: net interest	66,147	62,840	49,610	36,381	23,152	9,922	2,48,052
Add: AMC and insurance paid from TFO	43,933	13,967	0	0	0	0	57,900
(A) Cash available for debt service	**5,42,455**	**5,66,513**	**5,69,024**	**5,98,897**	**5,89,676**	**5,84,354**	**34,50,919**
Net interest (6% p.a.)	66,147	62,840	49,610	36,381	23,152	9,922	2,48,052
Principal repaid (Annexure 13)	0	2,20,490	2,20,490	2,20,490	2,20,490	2,20,492	11,02,452
(B) Total debt service	**66,147**	**2,83,330**	**2,70,100**	**2,56,871**	**2,43,642**	**2,30,414**	**13,50,504**
DSCR = (A) ÷ (B)	**8.20**	**2.00**	**2.11**	**2.33**	**2.42**	**2.54**	**2.56 (average)**

Current ratio = (cash + prepaid) ÷ next year's instalments; debt–equity = loan with interest ÷ (capital + subsidy); fixed asset coverage = net fixed assets ÷ loan with interest. DSCR = (A) ÷ (B). Year I is interest only. Average 2.56 (Years II–VI: 2.26; lowest 2.00) – above the 1.25–1.50 banks usually need.

Annexure 6 – Requirement of power and fuel

Particulars	Quantity	Unit
Combine harvester – diesel		
Fuel requirement per hour	8	litres
Working hours at 100% capacity (75 days × 10 hours)	750	hours a year
Fuel requirement at 100% capacity	6,000	litres a year
Fuel cost per litre	100	Rs
Fuel cost at 100% capacity	6,00,000	Rs a year
Lubricants	7.5%	of fuel cost
Year I – 60% use		
Working hours (Annexure 7)	450	hours
Fuel – 450 hours × 8 litres × Rs 100	3,60,000	Rs
Lubricants – 7.5% of fuel	27,000	Rs
Fuel and lubricants, Year I (Annexure 4)	**3,87,000**	**Rs**
Small implements		
Power weeder and brush cutter – petrol	In 'small implements running and fuel': Rs 28,545 in Year I (Annexure 4)	
Hand seeding machine	Manual – no fuel	
Power (electricity)		
Electricity for the machines	Not needed – they run on diesel or petrol, or by hand	

Later years: working hours × 8 litres × Rs 100 × 1.03^(year – 1), plus 7.5% for lubricants (diesel price assumed to rise 3% a year). Year-wise fuel cost is in Annexure 4.

Annexure 7 – Sales/service budget (hire income) (Rs)

Particulars	Year ending 31 March							Total
	I 2027-28	II 2028-29	III 2029-30	IV 2030-31	V 2031-32	VI 2032-33	VII 2033-34	
Capacity utilisation (planned use)	60%	70%	75%	80%	80%	80%	80%	–
Harvester working hours (750 hours × utilisation)	450	525	563	600	600	600	600	3,938
Hire charge per hour (Rs) – rises 3% a year	2,700	2,781	2,864	2,950	3,039	3,130	3,224	–
Harvester hire income	12,15,000	14,60,025	16,12,432	17,70,000	18,23,400	18,78,000	19,34,400	1,16,93,257
Small implements hire income	39,000	46,865	51,719	56,822	58,526	60,282	62,091	3,75,305
Total hire income – expected revenue (Annexure 4)	**12,54,000**	**15,06,890**	**16,64,151**	**18,26,822**	**18,81,926**	**19,38,282**	**19,96,491**	**1,20,68,562**

Service output at 100% capacity

Basis – combine harvester	Details	Small implement	Use at 100% capacity	Hire charge	Income at 100% (Rs)
Number of units	1	Power weeder	150 hours	Rs 250 per hour	37,500
Hours of operation a day	10	Brush cutter	150 hours	Rs 150 per hour	22,500
Harvest-season window	75 days (Aman 50 + Boro 25)	Hand seeding machine	50 days	Rs 100 per day	5,000
Working hours at 100% capacity	750 hours a year	Total			65,000

Working hours = 750 × utilisation (75 days × 10 hours). Harvester income = working hours × hire charge per hour (Rs 2,700 in Year I, +3% a year). Small-implement income = Rs 65,000 × utilisation × 1.03^(year − 1).

Annexure 8 – Details of salary and wages (Rs)

Sl	Designation	No.	Wage per day (Rs)	Paid days (Year I)	Annual cost, Year I (Rs)
i.	Combine harvester operator (skilled)	1	2,400	52	1,24,800
ii.	Helper	1	600	52	31,200
iii.	Owner (the applicant) – runs the CHC, no salary	1	–	–	–
	Total paid staff	**2**			**1,56,000**

Summary

Total annual wages, Year I	Rs 1,56,000
Annual increase in wages	5% a year
Wage basis	Per 10-hour working day; seasonal, hired staff
Total paid manpower (No.)	2

Year-wise wages

Particulars	Year ending 31 March						
	I 2027-28	II 2028-29	III 2029-30	IV 2030-31	V 2031-32	VI 2032-33	VII 2033-34
Paid days a year	52	60	65	69	69	69	69
Operator and helper wages (Annexure 4)	**1,56,000**	**1,89,000**	**2,14,988**	**2,39,628**	**2,51,610**	**2,64,190**	**2,77,400**

The applicant runs the CHC himself and takes no salary. Small implements are run by him or by local workers paid per job.

Annexure 9 – Computation of depreciation (Rs)

Particulars	Civil work (shed)	Plant and machinery	Total
Cost (Annexure 3)	1,10,035	27,89,515	28,99,550
Rate of depreciation (written-down value)	10%	15%	–

Depreciation for each year

Year	Depreciation for the year			Closing written-down value		
	Shed	Machinery	Total	Shed	Machinery	Total
I (2027-28)	11,004	4,18,427	4,29,431	99,031	23,71,088	24,70,119
II (2028-29)	9,903	3,55,663	3,65,566	89,128	20,15,425	21,04,553
III (2029-30)	8,913	3,02,314	3,11,227	80,215	17,13,111	17,93,326
IV (2030-31)	8,022	2,56,967	2,64,989	72,193	14,56,144	15,28,337
V (2031-32)	7,219	2,18,422	2,25,641	64,974	12,37,722	13,02,696
VI (2032-33)	6,497	1,85,658	1,92,155	58,477	10,52,064	11,10,541
VII (2033-34)	5,848	1,57,810	1,63,658	52,629	8,94,254	9,46,883
Total	**57,406**	**18,95,261**	**19,52,667**			

Book depreciation is on full cost by the written-down-value method. Tax depreciation, on cost less subsidy, is in Annexure 10.

Annexure 10 – Calculation of income tax (Rs)

Particulars	Year ending 31 March							Total
	I 2027-28	II 2028-29	III 2029-30	IV 2030-31	V 2031-32	VI 2032-33	VII 2033-34	
Net profit before tax (Annexure 4)	2,944	1,24,140	2,08,187	2,97,527	3,40,883	3,82,277	4,18,585	17,74,543
Add: depreciation as per books (Annexure 9)	4,29,431	3,65,566	3,11,227	2,64,989	2,25,641	1,92,155	1,63,658	19,52,667
Add: AMC and insurance from TFO met by subsidy (40%)	17,573	5,587	0	0	0	0	0	23,160
Less: tax depreciation – machinery (15% WDV on Rs 17,41,053)	2,61,158	2,21,984	1,88,687	1,60,384	1,36,326	1,15,877	98,496	11,82,912
Less: tax depreciation – shed (10% WDV on Rs 66,021)	6,602	5,942	5,348	4,813	4,332	3,898	3,509	34,444
Taxable profit (total income)	**1,82,188**	**2,67,367**	**3,25,379**	**3,97,319**	**4,25,866**	**4,54,657**	**4,80,238**	**25,33,014**
Tax at new-regime slab rates (s. 202)	0	0	0	0	1,293	2,733	4,012	8,038
Less: rebate u/s 156 (up to Rs 12 lakh)	0	0	0	0	1,293	2,733	4,012	8,038
Income tax payable (incl. 4% cess)	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**

Book depreciation is on full cost; tax depreciation is on cost less subsidy. Hire income is business income. Tax uses the new regime (s. 202, Income-tax Act, 2025) and assumes no other income. Taxable income stays below Rs 12 lakh, so the s. 156 rebate makes the tax nil. Actual tax depends on his total income.

Annexure 11 – Break-even analysis (Rs)

Particulars	Year ending 31 March						
	I 2027-28	II 2028-29	III 2029-30	IV 2030-31	V 2031-32	VI 2032-33	VII 2033-34
Hire income	12,54,000	15,06,890	16,64,151	18,26,822	18,81,926	19,38,282	19,96,491
Variable costs (fuel, wages, shifting, repairs, small implements)	6,76,545	8,67,627	10,00,539	11,31,408	11,91,707	12,49,158	13,05,040
(A) Contribution	**5,77,455**	**6,39,263**	**6,63,612**	**6,95,414**	**6,90,219**	**6,89,124**	**6,91,451**
Fixed costs – AMC, insurance, misc.	78,933	86,717	94,588	96,517	1,00,543	1,04,770	1,09,208
Fixed costs – interest, depreciation	4,95,578	4,28,406	3,60,837	3,01,370	2,48,793	2,02,077	1,63,658
(B) Total fixed costs	**5,74,511**	**5,15,123**	**4,55,425**	**3,97,887**	**3,49,336**	**3,06,847**	**2,72,866**
Net profit before tax (A – B)	**2,944**	**1,24,140**	**2,08,187**	**2,97,527**	**3,40,883**	**3,82,277**	**4,18,585**
Break-even (% of planned use) = B ÷ A	99.5%	80.6%	68.6%	57.2%	50.6%	44.5%	39.5%
Planned use of capacity	60%	70%	75%	80%	80%	80%	80%
Break-even (% of full capacity)	**59.7%**	**56.4%**	**51.5%**	**45.8%**	**40.5%**	**35.6%**	**31.6%**
Cash break-even (% of full capacity)	15.1%	16.4%	16.3%	15.3%	14.3%	13.3%	12.6%

Variable costs change with the hours worked; the rest are fixed. Break-even is 59.7% of capacity in Year I, a little below the 60% planned, so Year I shows a small profit. The CHC works above break-even every year, and by Year VII break-even falls to 31.6% against 80% planned. Cash break-even (without depreciation) is only 15.1% in Year I, so cash stays positive.

Annexure 12 – Cash flow statement (Rs)

Particulars	Year ending 31 March							
	0 (set-up) 2026-27	I 2027-28	II 2028-29	III 2029-30	IV 2030-31	V 2031-32	VI 2032-33	VII 2033-34
Opening cash balance	0	0	4,74,542	6,83,241	8,57,253	10,20,763	11,62,267	12,86,841
Add: margin money (own capital)	7,39,362	0	0	0	0	0	0	0
Add: term loan with interest	11,02,452	0	0	0	0	0	0	0
Add: term loan without interest (against subsidy)	11,15,636	0	0	0	0	0	0	0
Add: net profit after tax (Annexure 4)	0	2,944	1,24,140	2,08,187	2,97,527	3,40,883	3,82,277	4,18,585
Add: depreciation (non-cash)	0	4,29,431	3,65,566	3,11,227	2,64,989	2,25,641	1,92,155	1,63,658
Add: AMC and insurance paid from TFO (non-cash)	0	43,933	13,967	0	0	0	0	0
(A) Total sources	**29,57,450**	**4,76,308**	**5,03,673**	**5,19,414**	**5,62,516**	**5,66,524**	**5,74,432**	**5,82,243**
Less: purchase of assets (TFO)	29,57,450	0	0	0	0	0	0	0
Less: loan repayment (Annexure 13)	0	0	2,20,490	2,20,490	2,20,490	2,20,490	2,20,492	0
Less: drawings by the owner (Annexure 4)	0	1,766	74,484	1,24,912	1,78,516	2,04,530	2,29,366	2,51,151
(B) Total uses	**29,57,450**	**1,766**	**2,94,974**	**3,45,402**	**3,99,006**	**4,25,020**	**4,49,858**	**2,51,151**
(C) Net cash flow (A – B)	**0**	**4,74,542**	**2,08,699**	**1,74,012**	**1,63,510**	**1,41,504**	**1,24,574**	**3,31,092**
Closing cash balance (opening + C)	**0**	**4,74,542**	**6,83,241**	**8,57,253**	**10,20,763**	**11,62,267**	**12,86,841**	**16,17,933**

Year 0 = set-up (2026-27). The subsidy stays in the Subsidy Reserve Fund and is set off against the loan without interest in Year VI – no cash moves. Cash stays positive every year.

Annexure 13 – Repayment schedule (Rs)

Loan with interest – repaid by the applicant	Rs 11,02,452
Loan without interest – covered by the subsidy	Rs 11,15,636 – no interest, no instalments; set off from the Subsidy Reserve Fund in Year VI
Total bank term loan – SBI, Kaikhali Branch	**Rs 22,18,088**
Govt. subsidy (back-ended)	Rs 11,15,636 (37.72% of TFO)
Rate of interest	9% p.a. on the reducing balance; 3% AIF subvention, so the applicant pays 6% net
Moratorium (grace) period	12 months – Year I, interest only
Repayment	10 half-yearly instalments of Rs 1,10,245 (last Rs 1,10,247) in Years II to VI

Half-yearly schedule – loan with interest

Year	Half-year	Opening balance	Principal instalment	Closing balance	Interest @ 9% (year)	Less: AIF subvention @ 3%	Net interest @ 6% (paid by the applicant)
I 2027-28	1st half	11,02,452	0 (grace)	11,02,452	99,221	33,074	66,147
	2nd half	11,02,452	0 (grace)	11,02,452			
II 2028-29	1st half	11,02,452	1,10,245	9,92,207	94,260	31,420	62,840
	2nd half	9,92,207	1,10,245	8,81,962			
III 2029-30	1st half	8,81,962	1,10,245	7,71,717	74,416	24,806	49,610
	2nd half	7,71,717	1,10,245	6,61,472			
IV 2030-31	1st half	6,61,472	1,10,245	5,51,227	54,571	18,190	36,381
	2nd half	5,51,227	1,10,245	4,40,982			
V 2031-32	1st half	4,40,982	1,10,245	3,30,737	34,727	11,575	23,152
	2nd half	3,30,737	1,10,245	2,20,492			
VI 2032-33	1st half	2,20,492	1,10,245	1,10,247	14,883	4,961	9,922
	2nd half	1,10,247	1,10,247	0			
Total			**11,02,452**		**3,72,078**	**1,24,026**	**2,48,052**

Interest is worked out on the reducing balance after each half-yearly instalment and shown for the year; the applicant pays 6% after the 3% AIF subvention. No early repayment (Cl. XI(j)). The loan without interest is set off from the Subsidy Reserve Fund after this loan is repaid.

11. SWOT / RISK MANAGEMENT

11.1 SWOT analysis

	Points
Strengths	1. A local farmer who knows the farmers and their needs. 2. Combine harvesting is in demand in both paddy seasons. 3. Subsidy and AIF subvention cut the debt burden; 4. Own land for the CHC and its shed. 5. Low hire rate (Rs 2,700 an hour, about Rs 820 a bigha) and 10-hour days, so more farmers are served.
Weaknesses	1. Depends on a hired combine operator. 2. Most income comes from one machine in two short seasons.
Opportunities	1. Shortage of farm labour at harvest time. 2. Two paddy seasons a year.
Threats	1. Rise in diesel price. 2. Breakdown at harvest time. 3. Operator not available. 4. Rain or cyclone at harvest time.

11.2 Risk management

Risk	Mitigation
Rise in diesel price	Review hire rates each year with the ADA; plan routes to save fuel.
Breakdown during the harvest season	AMC for 18 months, then renewed; 1-year warranty and 4-year after-sales service.
Operator not available	Written agreement with an operator each season; a trained back-up from local youth.
New to running a CHC	Training by the supplier; guidance from the ADA; simple records.
Accident, damage or theft	Insurance (Rs 16,000 a year); parking under the shed; GPS tracking.